Cambridge
O Level

**Cambridge International Examinations**
Cambridge Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

*9298778331*

**BUSINESS STUDIES** **7115/12**

Paper 1 **October/November 2018**

**1 hour 30 minutes**

Candidates answer on the Question Paper.

No Additional Materials are required.

**READ THESE INSTRUCTIONS FIRST**

Write your Centre number, candidate number and name in the spaces at the top of this page.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The businesses described in this question paper are entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.
The total number of marks for this paper is 80.

This document consists of **11** printed pages and **1** blank page.

CAMBRIDGE
International Examinations


© UCLES 2018

**[Turn over**

**1** M&R Motors has 2 car showrooms. It buys old cars and repairs them before selling them to its customers. M&R is always trying to increase added value. M&R plans to open another showroom. The owner said: 'Finding the right location is important. The new showroom will require a manager and I need to find someone with the right qualities.' The job will be advertised in the local newspaper as shown in Figure 1. The advertisement will cost $5 for one week.

**Figure 1: Job advertisement M&R is planning to use for the new manager**

**CAR SHOWROOM MANAGER REQUIRED**

- This successful business is expanding.
- The job involves managing the office and selling cars.
- You will be in charge of three workers who will repair the cars.
- Do you have the qualities we are looking for?
- We offer good pay and working conditions.

For more information apply to M&R Motors

**(a)** What is meant by 'added value'?

.....

.....

..... [2]

**(b)** Identify **two** qualities that M&R might look for in the new manager.

Quality 1: .....

Quality 2: ..... [2]

**(c)** Identify and explain **two** methods of selection M&R could use when choosing the new manager.

Method 1: .....

.....

Explanation: .....

.....

Method 2: .....

.....

Explanation: .....

..... [4]

© UCLES 2018

**(d)** Identify and explain **two** factors that M&R might consider when deciding on a location for the new showroom.

Factor 1: .....

.....

Explanation: .....

.....

.....

.....

Factor 2: .....

.....

Explanation: .....

.....

.....

..... [6]

**(e)** Do you think a newspaper is the best way for M&R to advertise the new job? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

**2** FTT is a social enterprise. It sells its high quality fair-trade coffee beans to retailers in country P. Being ethical is important to FTT. It provides local people with information about micro-finance and skills so they can then start growing beans for FTT to sell for them. FTT wants to start exporting coffee beans as its market research shows increasing demand for coffee in other countries. FTT's managers will have to decide on an appropriate pricing method to use when selling the coffee beans in other countries.

**(a)** What is meant by 'social enterprise'?

.....

.....

.....

..... [2]

**(b)** What is meant by 'micro-finance'?

.....

.....

.....

..... [2]

**(c)** Identify and explain **two** factors that might affect the accuracy of FTT's market research.

Factor 1: .....

.....

Explanation: .....

.....

Factor 2: .....

.....

Explanation: .....

..... [4]

© UCLES 2018

**(d)** Identify and explain **two** ways in which being ethical might help FTT.

Way 1: .....

.....

Explanation: .....

.....

.....

.....

Way 2: .....

.....

Explanation: .....

.....

.....

..... [6]

**(e)** Recommend an appropriate pricing method for FTT to use if it starts selling in other countries. Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

**3** TRB is a small business in the secondary sector. TRB assembles computers. All components, except for the battery and glass for the screen, are imported from other countries. 40% of its products are exported. Many of its competitors are relocating to low cost countries. TRB's Operations Director thinks the opportunities of globalisation may be greater than the threats for TRB. She is looking at ways to improve efficiency in the factory. One option is to introduce lean production methods.

**(a)** TRB is in the secondary sector. Identify the other **two** classifications of business sector activity.

Classification 1: .....

.....

Classification 2: .....

..... [2]

**(b)** Identify **two** ways to measure the size of a business.

Way 1: .....

.....

Way 2: .....

..... [2]

**(c)** Identify and explain **two** methods of lean production that TRB might use.

Method 1: .....

.....

Explanation: .....

.....

Method 2: .....

.....

Explanation: .....

..... [4]

© UCLES 2018

**(d)** Identify and explain **two** possible benefits to TRB of improving efficiency.

Benefit 1: .....

.....

Explanation: .....

.....

.....

.....

Benefit 2: .....

.....

Explanation: .....

.....

.....

..... [6]

**(e)** Do you think there are more opportunities than threats from globalisation for TRB? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

© UCLES 2018

**4** Bakin Group (BG) is a limited company. It has 3 holiday parks that offer families holiday accommodation and activities. BG aims to look after its customers' needs 24 hours a day. Customers pay for the holidays when they arrive at the park. Each park has 3 managers and 40 part-time employees. BG uses a wide range of social media networks for promotion. The Finance Director is worried about BG's cash flow position. He cannot decide if an overdraft is the best way for BG to solve its cash flow problem.

**Table 1**: **Cash flow forecast for period January - March 2019 ($000)**

| | January | February | March |
|---|---|---|---|
| Cash in | 120 | 80 | 70 |
| Cash out: | | | |
| Interest | 10 | 10 | 10 |
| Wages and other costs | 100 | 90 | 90 |
| Total cash outflow | 110 | 100 | 100 |
| Net cash flow | **X** | (20) | (30) |
| Opening balance | (40) | (30) | (50) |
| Closing balance | (30) | (50) | **Y** |

**(a)** What is meant by 'limited company'?

.....

.....

.....

..... [2]

**(b)** Calculate the values of **X** and **Y**.

**X**: .....

**Y**: ..... [2]

© UCLES 2018

**(c)** Identify and explain **two** advantages to BG of having part-time employees.

Advantage 1: .....

.....

Explanation: .....

.....

Advantage 2: .....

.....

Explanation: .....

..... [4]

**(d)** Identify and explain **one** advantage and **one** disadvantage to BG of using social media networks for promotion.

Advantage: .....

.....

Explanation: .....

.....

.....

.....

Disadvantage: .....

.....

Explanation: .....

.....

.....

..... [6]

**(e)** Do you think an overdraft is the best way for BG to solve its cash flow problem? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

[Total: 80]

© UCLES 2018

**BLANK PAGE**

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge International Examinations Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cie.org.uk after the live examination series.

Cambridge International Examinations is part of the Cambridge Assessment Group. Cambridge Assessment is the brand name of University of Cambridge Local Examinations Syndicate (UCLES), which is itself a department of the University of Cambridge.

© UCLES 2018